సులభం · Day 1 Study Notes — Polity + Economy

Group 2 Mains syllabus (Paper 1: Constitution · Paper 2: Economy) · read with Group 1 depth · Date: ___ / ___ / 2026

Today's plan: Polity topic **con-6-1** (90 min) · Economy topic **eco-1-1** (90 min) · Morning + evening current affairs on sulabham.in · Night 30 min: answer the 10 questions at the end **without looking**, then write your notebook pages (last page shows how).
Book pages (optional, for depth): Laxmikanth Ch. 1 Historical Background, Ch. 2 Making of the Constitution, Ch. 3 Salient Features · Telugu Academy Indian Economy: National Income chapter. These notes cover the exam points of both.

POLITY · Nature of the Indian Constitution and constitutional development

1. What is a Constitution? (రాజ్యాంగం)

A Constitution is the **supreme law** of a country. It (1) sets up the organs of government — legislature, executive, judiciary; (2) **limits** their power so that no one becomes all-powerful; and (3) gives citizens rights. Every other law must agree with it; a law that goes against it can be struck down by the courts. Think of it as the **rule book of the game** — players (governments) change, the rule book stays.

2. How it developed — British period (constitutional development)

Our Constitution did not appear suddenly; many of its features grew out of British Acts. Learn them as a chain: **Company rule → Crown rule → Indians enter councils → elections → provincial autonomy → independence.**

1773 Regulating Act: Governor of Bengal → Governor-General of Bengal (Warren Hastings); Supreme Court at Calcutta (1774)	**1784** Pitt's India Act: Board of Control — "double government" of Company + British Govt.	**1833** Charter Act: Governor-General *of India* (William Bentinck) — final step of centralisation	**1853** Charter Act: open competition for civil services; legislative work separated from executive
1858 Govt of India Act: Crown takes over; Secretary of State for India; Viceroy (Canning)	**1861** Indian Councils Act: Indians nominated to councils; portfolio system; ordinance power	**1892** Indian Councils Act: indirect election begins; budget may be discussed	**1909** Morley–Minto: **separate electorate** for Muslims; S.P. Sinha first Indian in Viceroy's Executive Council
1919 Montagu–Chelmsford: **dyarchy in provinces**; bicameral central legislature; direct elections	**1935** Govt of India Act: provincial autonomy; dyarchy at Centre; proposed federation; 3 lists; Federal Court (1937)	**1946** Cabinet Mission Plan → Constituent Assembly elected indirectly by provincial assemblies	**1947** Indian Independence Act: India independent (15 Aug); Assembly becomes sovereign

Memory chain: "**R-P-C-C** (1773-84-1833-53) = Company years · **1858** = Crown · **61-92-1909-19** = Indians, elections, communal electorate, dyarchy · **1935** = biggest source of our Constitution."

3. Making of the Constitution — Constituent Assembly (రాజ్యాంగ పరిషత్)

Event	Fact
Formed under	Cabinet Mission Plan, 1946 — members elected **indirectly** by provincial assemblies; princely states nominated
Strength	389 planned (296 British India + 93 princely states); **299** after Partition
First meeting	**9 Dec 1946** — Dr Sachchidananda Sinha (temporary President)
Permanent President	**Dr Rajendra Prasad** (11 Dec 1946) · Constitutional Adviser: **B.N. Rau**
Objectives Resolution	Moved by **Nehru 13 Dec 1946**, adopted 22 Jan 1947 → later became the **Preamble**
Drafting Committee	Set up 29 Aug 1947 · Chairman **Dr B.R. Ambedkar** · 7 members · Draft introduced 4 Nov 1948
Adopted / in force	Adopted **26 Nov 1949** (now Constitution Day) · in force **26 Jan 1950** (Republic Day)

Time taken / original size	2 years 11 months 18 days · 395 Articles, 22 Parts, 8 Schedules

> **Trap:** Adopted on 26 Nov 1949, but **enforced** on 26 Jan 1950 (chosen because Purna Swaraj was declared on 26 Jan 1930). · Temporary President = Sachchidananda Sinha, *not* Rajendra Prasad. · The Draft was introduced on **4 Nov 1948** (see our Today page of 4 Nov).

4. Nature / salient features — what kind of Constitution is it?

- **Written and lengthiest** in the world — covers Centre, States, services, elections, emergency in one document.
- **Federal with a unitary bias** (quasi-federal, as K.C. Wheare said): two levels of government, division of powers (7th Schedule), written & rigid Constitution, independent judiciary — but a strong Centre (single Constitution, single citizenship, Governor appointed by Centre, emergency powers, all-India services). Art. 1 calls India a "**Union of States**".
- **Parliamentary system** (UK model): real power with the Council of Ministers responsible to the Lok Sabha; President is the nominal head.
- **Partly rigid, partly flexible**: some parts change by simple majority, most need special majority, federal parts also need half the States (Art. 368).
- **Sovereign, socialist, secular, democratic republic** — "socialist" and "secular" added by the **42nd Amendment, 1976**.
- Fundamental Rights + DPSP + Fundamental Duties (added 1976); independent integrated judiciary; universal adult franchise; single citizenship; emergency provisions.

5. Borrowed features ("bag of borrowings")

Source	Features taken
Govt of India Act 1935	Federal scheme, office of Governor, judiciary, Public Service Commissions, emergency provisions
Britain	Parliamentary government, rule of law, single citizenship, bicameralism, writs, cabinet system
USA	Fundamental Rights, judicial review, independence of judiciary, impeachment of President, Vice-President
Ireland	DPSP, method of electing the President, nomination of Rajya Sabha members
Canada	Federation with strong Centre, residuary powers with Centre, Governor appointed by Centre, advisory jurisdiction of SC
Australia	Concurrent List, freedom of trade & commerce, joint sitting of Parliament
USSR · France · Weimar Germany · South Africa · Japan	Fundamental Duties · Republic, Liberty-Equality-Fraternity · suspension of FRs in emergency · amendment procedure, election of RS members · "procedure established by law"

> **Common traps:** DPSP from **Ireland** (not USA) · Concurrent List from **Australia** (not Canada) · Residuary powers with Centre from **Canada** (in the USA they are with the States) · Fundamental Duties from **USSR** · Most of the text came from the **1935 Act**.

ECONOMY · National income: concept and measurement

1. What is national income? (జాతీయ ఆదాయం)

National income is the **money value of all final goods and services produced in a country in one year**. It tells us how big the economy is and whether it is growing.

Why "final" only? To avoid **double counting**. Example: a farmer sells wheat for ₹20 → a miller makes flour worth ₹30 → a baker makes bread worth ₹50. Counting all three gives ₹100, but only ₹50 of new value was produced. So we count the final bread (₹50) — or add the **value added** at each stage: 20 + 10 + 20 = ₹50.

🌾 Wheat ₹20
value added 20 → 🏭 Flour ₹30
value added 10 → 🍞 Bread ₹50
value added 20 = **GDP ₹50**
(not ₹100)

2. The key aggregates — learn the 3 switches

Switch	Rule	Remember
Domestic → National	GNP = GDP + **Net Factor Income from Abroad** (NFIA = income earned by Indians abroad −	Domestic = inside borders; National = by nationals. India's

	income earned by foreigners in India)	NFIA is negative → GNP < GDP
Gross → Net	Net = Gross − **depreciation** (wear and tear of machines = consumption of fixed capital)	NDP = GDP − depreciation
Market price → Factor cost	Factor cost = Market price − indirect taxes + subsidies	Taxes raise the shop price; subsidies lower it

National Income (in the strict sense) = NNP at factor cost. Per capita income = National income ÷ population (a rough measure of average living standard).

India's present method: since 2015 the government reports **GVA at basic prices** by sector and **GDP = GVA + product taxes − product subsidies**. Base year has been 2011-12; MoSPI has been revising it to a newer base — always check the latest Economic Survey.

3. Nominal vs real GDP

Nominal GDP = at current year's prices (rises even if only prices rise). **Real GDP** = at constant prices of a base year (shows real growth in output). **GDP deflator** = Nominal GDP ÷ Real GDP × 100 — a broad measure of inflation.

4. Three methods of measuring

Method	What is added	Used for
Production (value added)	Value of output − intermediate consumption, for every sector	Agriculture, industry — main method in India
Income	Rent + wages + interest + profit (+ mixed income of self-employed)	Services sectors
Expenditure	C + I + G + (X − M): consumption + investment + govt spending + net exports	Construction; cross-check

Not counted in GDP: transfer payments (old-age pension, scholarship, unemployment allowance), sale of second-hand goods, buying shares/bonds, illegal activities, unpaid housework. **Counted:** imputed rent of owner-occupied houses, production for self-consumption by farmers.

5. Who measures — history

Who / when	Contribution
Dadabhai Naoroji (1867-68)	First estimate of India's per capita income (₹20) — book *Poverty and Un-British Rule in India* ("drain theory")
V.K.R.V. Rao (1931-32)	First scientific estimate of national income
National Income Committee (1949)	Chairman **P.C. Mahalanobis** — first official estimates
Today	**NSO** (National Statistical Office) under MoSPI — formed 2019 by merging CSO and NSSO
Andhra Pradesh	**GSDP** (state GDP) and state per capita income estimated by the Directorate of Economics & Statistics, AP; published in the AP Socio-Economic Survey

Memory: "**D-V-M-N**" = Dadabhai → V.K.R.V. Rao → Mahalanobis → NSO. Three switches = "**Abroad, Wear-tear, Taxes**" (GDP→GNP adds abroad; Gross→Net removes wear-tear; MP→FC removes taxes, adds subsidies).

PRACTICE — 10 questions (APPSC pattern). Answer without looking at the notes.

1. Consider the following statements:
I. The Regulating Act of 1773 made the Governor of Bengal the Governor-General of Bengal.
II. The Charter Act of 1833 created the post of Governor-General of India.
III. The Government of India Act of 1858 introduced dyarchy in the provinces.
Which of the above is/are correct?
(a) I only (b) II and III only (c) I and II only (d) I, II and III

2. Arrange in chronological order: I. Morley–Minto Reforms II. Pitt's India Act III. Indian Councils Act (first) IV. Montagu–Chelmsford Reforms
(a) II, III, I, IV (b) III, II, I, IV (c) II, I, III, IV (d) II, III, IV, I

3. Match List-I (feature) with List-II (source):
A. Directive Principles 1. Australia B. Concurrent List 2. Ireland C. Residuary powers with Centre 3. USSR D. Fundamental Duties 4. Canada
(a) A-2, B-1, C-4, D-3 (b) A-2, B-4, C-1, D-3 (c) A-1, B-2, C-4, D-3 (d) A-2, B-1, C-3, D-4

4. Which of the following statements about the Constituent Assembly is **incorrect**?
(a) Its first meeting was held on 9 December 1946.
(b) Dr Rajendra Prasad presided over its first meeting as temporary President.
(c) The Objectives Resolution was moved by Jawaharlal Nehru.
(d) The Constitution was adopted on 26 November 1949.

5. Consider: I. India is described as a "Union of States" in Article 1. II. The words "socialist" and "secular" were in the original Preamble of 1950. III. The Indian federation has a strong unitary bias. Which is/are correct?
(a) II only (b) I and II only (c) I, II and III (d) I and III only

6. Consider: I. GNP = GDP + net factor income from abroad. II. NDP = GDP − depreciation. III. Factor cost = Market price + indirect taxes − subsidies. Which is/are correct?
(a) I only (b) II and III only (c) I, II and III (d) I and II only

7. Which of the following are **included** in India's GDP? I. Old-age pension paid by government II. Imputed rent of owner-occupied houses III. Sale of a second-hand car IV. Wheat grown by a farmer for his own family
(a) I and III only (b) II and IV only (c) I, II and IV only (d) II, III and IV only

8. A farmer sells cotton for ₹100, a mill makes yarn worth ₹180 and a weaver makes cloth worth ₹300. What is the contribution of this chain to GDP?
(a) ₹580 (b) ₹300 (c) ₹200 (d) ₹480

9. Match: A. Dadabhai Naoroji 1. First scientific estimate of national income B. V.K.R.V. Rao 2. Chairman, National Income Committee 1949 C. P.C. Mahalanobis 3. First estimate of per capita income (₹20) D. NSO 4. Present official estimates
(a) A-1, B-3, C-2, D-4 (b) A-3, B-2, C-1, D-4 (c) A-3, B-1, C-2, D-4 (d) A-2, B-1, C-3, D-4

10. If nominal GDP rises by 10% and the GDP deflator rises by 6% in a year, which of the following is **most nearly correct**?
(a) Real GDP grew by about 16% (b) Real GDP grew by about 4% (c) Real GDP fell by about 4% (d) Real GDP did not change

Answers: 1-(c) III wrong: dyarchy in provinces came in 1919 · 2-(a) 1784, 1861, 1909, 1919 · 3-(a) · 4-(b) temporary President was Sachchidananda Sinha · 5-(d) "socialist, secular" added by 42nd Amendment 1976 · 6-(d) Factor cost = MP − indirect taxes + subsidies · 7-(b) pensions are transfer payments; second-hand sales add no new production · 8-(b) value added 100+80+120 = ₹300 · 9-(c) · 10-(b) real growth ≈ 10 − 6 = 4%.

AFTER READING — write this in your subject notebooks (15–20 min, book closed first)

Step 1 (5 min): close everything; on a rough sheet write all you remember. **Step 2**: open the notes, tick what you got, circle what you missed. **Step 3**: write the final page in the notebook using the 4 boxes — only short points. Example for today's Polity page:

① Concept (own words)	② Facts
Constitution = supreme rule book; limits power; gives rights. Ours grew from British Acts (esp. 1935) and was made by an indirectly elected Assembly. Nature: federal but strong Centre, parliamentary, partly rigid.	9 Dec 1946 first meeting (Sinha) · 11 Dec Rajendra Prasad · 13 Dec Objectives Res. · 29 Aug 1947 Drafting Cttee (Ambedkar) · 26 Nov 1949 adopted · 26 Jan 1950 in force · 395 Art / 22 Parts / 8 Sch.
③ Links	④ Traps (mine)
Today page 4 Nov: Draft introduced 4 Nov 1948 · 42nd Amdt 1976 → socialist, secular, FDs · 1935 Act → 3 lists (7th Sch.)	Temporary President ≠ Rajendra Prasad · DPSP = Ireland · Concurrent = Australia · dyarchy provinces 1919, Centre 1935

Economy page — same 4 boxes; in box ② write the 3 switches and the formula chain; add a **Numbers box** later for the latest GDP growth and AP GSDP from the Economic Survey. **Revise both pages on Day 3, 7, 15, 30.**